19. Income Taxes

Pre-tax income from continuing operations was taxed in the following jurisdictions (in millions):

	Fiscal Year Ended September 30,		
	2014	2013	2012
Domestic	$ 373.1	$ 412.5	$ 269.1
Foreign	58.8	32.5	40.1
	$ 431.9	$ 445.0	$ 309.2

Significant components of the provision for income taxes were as follows (in millions):

	Fiscal Year Ended September 30,		
	2014	2013	2012
Allocated to Income From Continuing Operations Before Equity in Earnings of Unconsolidated Affiliates			
Current:			
Federal	$ 118.8	$ 154.5	$ 118.9
Foreign	14.7	3.2	3.2
State	11.3	4.4	3.9
Total current	144.8	162.1	126.0
Deferred:			
Federal	(8.5)	(30.3)	(60.8)
Foreign	(10.5)	0.8	2.0
State	(0.8)	(0.9)	(2.0)
Total deferred	(19.8)	(30.4)	(60.8)
	$ 125.0	$ 131.7	$ 65.2
Allocated to Other Comprehensive Income (Loss)			
Deferred federal, state and foreign	$ (12.4)	$ 44.6	$ 18.7

The reconciliation of income tax computed at the U.S. federal statutory tax rates to income tax expense was:

	Fiscal Year Ended September 30,		
	2014	2013	2012
Effective Rate Reconciliation			
U.S. federal tax rate	35.0 %	35.0 %	35.0 %
State income taxes, net	2.1	0.8	(0.6)
Foreign taxes	(1.4)	(0.3)	2.2
Tax audit settlements	(2.3)	0.3	(3.8)
European tax incentive	—	(0.6)	(1.6)
Valuation allowance	(2.4)	(0.7)	(2.3)
Domestic tax credits	(0.4)	(1.3)	(0.3)
Manufacturing deduction	(2.2)	(3.8)	(3.4)
Other, net	0.6	0.2	(4.1)
	29.0 %	29.6 %	21.1 %

During fiscal 2014, the Company recorded discrete tax benefits of $25.7 million (6.0% of pre-tax income), which included settlement of audits, changes in filing positions taken in prior years, expiration of statute of limitations and future realization of losses previously unbenefited. Included in fiscal 2013 domestic tax credits is $3.2 million (0.7% of pre-tax income) of benefit due to the reinstatement of the U.S. research & development tax credit for periods prior to fiscal 2013. In fiscal 2012, the Company recorded discrete tax benefits of $44.8 million (14.5% of pre-tax income), which included settlement of audits, changes in filing positions taken in prior periods, expiration of statute of limitations and utilization of losses previously unbenefited. Other, net in fiscal 2012 includes $13.1 million of the $44.8 million of discrete tax benefits noted above for adjustments related to deferred taxes and changes to filing positions taken in prior periods.

The Company's valuation allowance on deferred tax assets decreased $26.0 million in fiscal 2014 to $26.1 million at September 30, 2014. Decreases in valuation allowances aggregating $4.3 million fully offset decreases in deferred tax assets related to foreign net operating losses resulting from changes in prior year filing positions of $1.5 million and expiration of foreign statute of limitations of $2.8 million. Decreases in valuation allowance aggregating $7.8 million fully offset decreases in deferred tax assets related to capital losses, resulting from utilization of capital loss carryovers and lapse of the statutory carryover period. Other changes in the valuation allowance included a $1.5 million (0.4% of pre-tax income) increase related to state net operating losses and a $12.1 million (2.8% of pre-tax income) decrease related to a reduction in valuation allowance due to expected future realization of foreign net operating losses and notional interest deduction carryovers based on projections of future income following a tax ruling received in fiscal 2014. The remaining decrease in valuation allowance of $3.3 million relates to currency translation and other.

The Company was party to a tax incentive agreement (“incentive”) covering certain of its European operations. The incentive expired in July 2013 and provided for a reduction in the Company’s effective income tax rate through allowable deductions that were subject to recapture to the extent that certain conditions were not met, including a requirement to have minimum cumulative operating income over a multiple-year period ending in fiscal 2013. The Company recorded tax deductions under the incentive of €5.9 million and €11.5 million in fiscal 2013 and 2012, respectively, which resulted in additional benefit of $2.6 million (0.6% of pre-tax income) and $5.0 million (1.6% of pre-tax income) in fiscal 2013 and 2012, respectively, and €27.4 million of cumulative net deductions over the life of the agreement.

Prior to fiscal 2012, the Company sold several European companies whose operations were classified as discontinued operations. The Company had made an election with the U.S. Internal Revenue Service to treat Windmill Ventures, the Company’s European holding company parent of these disposed companies, as a disregarded entity for U.S. federal income tax purposes. As a result of this election, the Company recorded a worthless stock/bad debt income tax benefit related to the discontinued operations of the sold companies. In fiscal 2012, the Company settled an income tax audit, which resulted in a tax benefit of $6.1 million related to the release of previously accrued amounts for uncertain tax positions for worthless stock/bad debt deductions, which was included in discontinued operations.

Deferred income tax assets and liabilities were comprised of the following (in millions):

	September 30,	
	2014	2013
Deferred tax assets:		
Other long-term liabilities	$ 88.5	$ 74.0
Losses and credits	53.8	76.0
Accrued warranty	27.9	31.3
Other current liabilities	20.7	26.3
Payroll-related obligations	24.4	21.3
Receivables	7.1	7.8
Other	0.6	—
Gross deferred tax assets	223.0	236.7
Less valuation allowance	(26.1)	(52.1)
Deferred tax assets	196.9	184.6
Deferred tax liabilities:		
Intangible assets	193.1	210.0
Property, plant and equipment	35.2	31.4
Inventories	6.8	14.3
Other	5.9	4.3
Deferred tax liabilities	241.0	260.0
	$ (44.1)	$ (75.4)

The net deferred tax liability is classified in the Consolidated Balance Sheets as follows (in millions):

	September 30,	
	2014	2013
Current net deferred tax asset	$ 66.3	$ 67.6
Long-term net deferred tax asset	14.6	—
Long-term net deferred tax liability	(125.0)	(143.0)
	$ (44.1)	$ (75.4)

As of September 30, 2014, the Company had $131.7 million of net operating loss carryforwards available to reduce future taxable income of certain foreign subsidiaries that are primarily from countries with carryforward periods ranging from seven years to an unlimited period. In addition, the Company had $119.0 million of state net operating loss carryforwards, which are subject to expiration from 2016 to 2034. The Company also had capital loss carryforwards of $10.3 million, which are subject to expiration from 2017 to 2018, and state credit carryforwards of $11.5 million, which are subject to expiration from 2022 to 2029. Deferred tax assets for foreign net operating loss carryforwards, state net operating loss carryforwards, capital loss carryforwards and state credit carryforwards were $36.3 million, $6.3 million, $3.7 million and $7.5 million, respectively, and are reviewed for recoverability based on historical taxable income, the expected reversals of existing temporary differences, tax-planning strategies and projections of future taxable income. As a result of this analysis, the Company carried a valuation allowance against foreign deferred tax assets, state deferred tax assets and capital loss carryforwards of $20.5 million, $1.9 million and $3.7 million, respectively, as of September 30, 2014.

The Company does not provide for U.S. income taxes on undistributed earnings of its foreign operations that are intended to be indefinitely reinvested. At September 30, 2014, these earnings amounted to $180.7 million. If these earnings were repatriated to the United States, the Company would be required to accrue and pay U.S. federal income taxes and foreign withholding taxes, as

adjusted for foreign tax credits. Determination of the amount of any unrecognized deferred income tax liability on these earnings is not practicable.

OSHKOSH CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

As of September 30, 2014, the Company's liability for gross unrecognized tax benefits, excluding related interest and penalties, was $32.8 million. As of September 30, 2014, net unrecognized tax benefits, excluding interest and penalties, of $20.9 million would affect the Company's net income if recognized. As of September 30, 2013, net unrecognized tax benefits, excluding interest and penalties, of $25.9 million would have affected the Company's net income if recognized. A reconciliation of the beginning and ending amount of unrecognized tax benefits were as follows (in millions):

	Fiscal Year Ended September 30,		
	2014	2013	2012
Balance at beginning of year	$ 37.0	$ 32.9	$ 53.3
Additions for tax positions related to current year	7.0	4.9	3.8
Additions for tax positions related to prior years	5.2	2.8	8.7
Reductions for tax positions of prior years	(2.6)	(0.6)	(0.2)
Settlements	(10.1)	(1.4)	(28.3)
Lapse of statute of limitations	(3.0)	(1.6)	(4.4)
Balance at end of year	$ 33.5	$ 37.0	$ 32.9

The Company recognizes accrued interest and penalties, if any, related to unrecognized tax benefits in the "Provision for income taxes" in the Consolidated Statements of Income. During the fiscal years ended September 30, 2014, 2013 and 2012, the Company recognized $1.5 million, $2.0 million and $(0.8) million related to interest and penalties, respectively. At September 30, 2014 and 2013, the Company had accruals for the payment of interest and penalties of $16.8 million and $16.1 million, respectively. During the next twelve months, it is reasonably possible that federal, state and foreign tax audit resolutions could reduce unrecognized tax benefits by approximately $13.9 million, either because the Company's tax positions are sustained on audit, because the Company agrees to their disallowance or the statute of limitations closes.

The Company files federal income tax returns, as well as multiple state, local and non-U.S. jurisdiction tax returns. The Company is regularly audited by federal, state and foreign tax authorities. During fiscal 2014, the U.S. Internal Revenue Service completed its audit of the Company for the taxable years ended September 30, 2010 and 2011. As of September 30, 2014, tax years open for examination under applicable statutes were as follows:

Tax Jurisdiction	Open Tax Years
Australia	2009 - 2014
Belgium	2011 - 2014
Brazil	2008 - 2014
Canada	2010 - 2014
Romania	2010 - 2014
The Netherlands	2009 - 2014
China	2011 - 2014
United States (federal)	2012 - 2014
United States (state and local)	2002 - 2014